

Mark Scheme

Practice Paper (Hard)

Pearson Edexcel GCE AS Level

Economics A (8EC0)

Paper 01: Introduction to Markets and Market Failure

General marking guidance

- All candidates must receive the same treatment.
- Mark schemes should be applied positively. Candidates must be rewarded for what they have shown they can do rather than be penalised for omissions.
- Examiners should mark according to the mark scheme — not according to their perception of where the grade boundaries may lie.
- All the marks on the mark scheme are designed to be awarded. Examiners should always award full marks if deserved.
- Where some judgement is required, mark schemes will provide the principles by which marks will be awarded and exemplification/indicative content will not be exhaustive.
- Crossed-out work should be marked unless the candidate has replaced it with an alternative response.

Section A

Question Number	Answer	Mark
1(a)	Knowledge 1, Application 1, Analysis 1 Explain the role of enterprise as a factor of production. Knowledge (1) - Enterprise refers to the entrepreneur — the factor of production which combines land, labour and capital to produce goods and services / takes the risk of making business decisions in pursuit of profit (1) Application (1) - Reference to AI entrepreneurs developing new business models / large-scale capital investment in data centres (1) Analysis (1) - By identifying a commercial opportunity in AI and committing capital to build data centres, the entrepreneur bears the risk that the venture may fail; the reward, if successful, is the residual profit. This risk-taking allocates scarce resources into new uses and drives productivity growth (1) - Without enterprise, the other three factors (land, labour, capital) would not be organised into productive use — enterprise is the organising factor (1)	(3)

Question Number	Answer	Mark
1(b)	Knowledge 1 The only correct answer is B — a site of unused farmland is a natural resource, which is the definition of land as a factor of production. - A is incorrect — a fibre-optic cable is a man-made productive asset, so capital, not land. - C is incorrect — an engineer's work is labour. - D is incorrect — a computer server is capital.	(1)

Question Number	Answer	Mark
2(a)	Knowledge 1 1 mark for an acceptable definition, e.g.: - Excess demand exists when, at a given price, the quantity demanded by consumers is greater than the quantity supplied by producers (1) - A market shortage / disequilibrium where price is below the equilibrium price (1)	(1)

Question Number	Answer	Mark
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2(b)	Knowledge 1 The only correct answer is A — a fall in the price of a substitute (polyester) causes consumers to switch away from cotton, shifting the demand curve for cotton inward. • B is incorrect — a rise in cotton's own price causes a contraction along the demand curve, not a shift. • C is incorrect — a successful marketing campaign would shift demand outward. • D is incorrect — an increase in incomes would shift demand outward (cotton is treated as a normal good).	(1)
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Question Number	Answer	Mark
2(c)	Knowledge 1, Application 1 • Supply curve drawn and labelled showing a leftward / inward shift from S to S■ (war in Ukraine disrupts 12% of world cotton exports) (1) • Demand curve drawn and labelled showing a rightward / outward shift from D to D■ (rising consumer demand for natural fibres) (1) • New equilibrium clearly identified with higher price P■; effect on quantity is ambiguous (depends on the relative size of the shifts) (max 1 if shifts are missing labels)	(2)

Question Number	Answer	Mark
3(a)	Knowledge 1 The only correct answer is C — in a free market, the price mechanism (signalling, rationing, incentive) allocates resources. • A is incorrect — describes a command / planned economy. • B is incorrect — consumer choice is central to a free market. • D is incorrect — describes extreme state provision, not a free market.	(1)

Question Number	Answer	Mark
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3(b)	Knowledge 1, Application 1, Analysis 1 Award marks for explanation of ONE function (signalling, rationing OR incentive). Knowledge (1) • Signalling function: prices convey information about scarcity and consumer preferences to producers (1) • Rationing function: when goods become scarce, the price rises, restricting purchases to those willing and able to pay (1) • Incentive function: rising prices in a market signal higher potential profit, encouraging producers to enter or expand output (1) Application (1) • Reference to Hayek's argument that prices communicate the preferences of millions of consumers / costs of producers (1) • Reference to South Korean conglomerates (Samsung, Hyundai) responding to world prices (1) Analysis (1) • Because no central planner could collect and process information from millions of consumers, prices act as a decentralised information system that automatically directs scarce resources to their highest-valued uses (1) • Profit incentives encourage producers to switch resources into goods consumers want most, achieving allocative efficiency (1)	(3)
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Question Number	Answer	Mark
4(a)	Knowledge 1 The only correct answer is C. Statement 1 is a measurable, testable claim — positive. Statement 2 uses 'should pay' — a value judgement, normative. • A, B and D are incorrect on the same reasoning.	(1)

Question Number	Answer	Mark
4(b)	Knowledge 1, Application 1, Analysis 1 Knowledge (1) • Opportunity cost is the value of the next best alternative forgone when an economic decision is made (1) Application (1) • Reference to £45 million invested in the textile recycling facility / the planned expansion of stores in northern England as the alternative use (1) Analysis (1) • Because the retailer's funds are finite (scarcity), choosing to spend £45m on recycling means the foregone alternative (store expansion) cannot be funded — that foregone investment is the opportunity cost (1) • PPF diagram showing a movement along the frontier may be credited (1 AN max)	(3)

Question Number	Answer	Mark
5(a)	Knowledge 1, Application 1 Knowledge (1) • $XED = \% \text{ change in quantity demanded of good A} \div \% \text{ change in price of good B}$ (1) Application (1) • $\% \text{ change in quantity (Tesla Model 3)} = (10,400 - 12,500) / 12,500 \times 100 = -16.8\%$ • $\% \text{ change in price (BYD)} = -8\%$ • $XED = -16.8 / -8 = +2.1$ (1) • Accept range +2.0 to +2.2. Award 2 marks for fully correct value with working; 1 mark for correct formula or correct % change in quantity. Positive sign indicates substitutes.	(2)

Question Number	Answer	Mark
5(b)	Knowledge 1 1 mark for an acceptable definition, e.g.: • A substitute good is a good that can be used in place of another to satisfy a similar want / has a positive cross elasticity of demand with the other (1)	(1)

Question Number	Answer	Mark
5(c)	Knowledge 1 The only correct answer is A — bread and butter are complements (consumed jointly), so a rise in the price of one reduces demand for the other, giving a negative cross elasticity of demand. • B is incorrect — Coca-Cola and Pepsi are substitutes (positive XED). • C is incorrect — petrol cars and electric cars are substitutes (positive XED). • D is incorrect — smartphones and tablets are substitutes (positive XED).	(1)

Section B — Question 6

Question Number	Answer	Mark
6(a)	Knowledge 1, Application 2, Analysis 2 Knowledge (1) • Unintended consequences are outcomes of an economic policy that were not foreseen or planned for at the time the policy was designed — they may be harmful or beneficial (1) Application (2) • Reference to retailers switching to fibres that count as 'recycled' on paper but are no less polluting (1) • Reference to the levy being passed on to consumers (£180/tonne) leading to higher clothing prices / cost-push inflation (1) • Reference to smaller retailers, already on tight margins, exiting the UK market (1) • Reference to online retailers (38% of the market) raising delivery charges or stocking fewer product lines (1) Analysis (2) • Greenwashing of fibre content means the policy may fail to reduce the true environmental cost of clothing — the externality is not internalised (1) • Levy incidence depends on PED and PES: with relatively price-inelastic demand for fast fashion, much of the £180/tonne is passed on to consumers, harming low-income households disproportionately (1) • If small retailers exit, market concentration rises, weakening competitive pressure and consumer welfare (1)	(5)
Question Number	Answer	Mark

6(b) KAA	Knowledge 2, Application 2, Analysis 2 (KAA 6) Indicative arguments that consumers are behaving rationally: • Rational consumers maximise utility subject to their budget constraint — fast fashion offers low prices, high variety and frequent newness, yielding high utility per £ spent • Falling real incomes (–3.4% in 2024) raise the marginal utility of money, so low-cost clothing is rational • Many environmental costs are external — they do not enter the consumer's private cost-benefit calculation, so ignoring them is privately rational • Social signalling / following fashion trends generates real utility for many consumers Indicative arguments that consumers are NOT behaving rationally (bounded rationality / behavioural failures): • Imperfect information: Extract A notes many shoppers are unaware of the environmental footprint of their purchases — without information, they cannot weigh costs accurately • Bounded self-control: impulse purchases driven by short-run gratification (present bias / hyperbolic discounting) and habitual buying • Social conformity / herd behaviour rather than considered choice • Anchoring on the low headline price ignores the longer-run cost of low-quality garments needing frequent replacement (rule-of-thumb thinking) • Externalising costs onto others (microplastics, GHG, garment-worker exploitation) means the private decision is not the socially rational one	(6)
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Level	Mark	Descriptor
Level 1	1–2	Displays isolated or imprecise knowledge of terms, concepts, theories and models. Use of generic or irrelevant information or examples. Descriptive approach which has no link between causes and consequences.
Level 2	3–4	Displays elements of knowledge and understanding of economic principles, concepts and theories. Applies economic ideas in context, although does not focus on the broad elements of the question. A narrow response or the answer may lack balance.
Level 3	5–6	Demonstrates accurate knowledge and understanding of the concepts, principles and models. Ability to link knowledge and understanding in context using relevant and focused examples which are fully integrated.

Question Number	Answer	Mark
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6(b) Eval	Evaluation 4 • Rationality is context-dependent — for income-constrained consumers, fast fashion may be the only feasible option • Information provision (Extract C: lifespan labels +4.1%, CO2 labels +2.8%) does change behaviour, suggesting that earlier choices were not fully informed and therefore not fully rational • Short-run vs long-run: in the long run, total cost-of-ownership may favour durable clothing, so present-biased consumers are not maximising lifetime utility • Generic ad campaigns (Extract C) produced no measurable change — suggests knowledge alone is not enough; consumers' choices may still be rational given their underlying preferences • Overall judgement: a mixed picture — some consumers display classical rationality, others are clearly subject to behavioural biases. The fact that interventions work is evidence of the latter	(4)
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Level	Mark	Descriptor
Level 1	1–2	Identification of generic evaluative comments without supporting evidence / reference to context. No evidence of a logical chain of reasoning.
Level 2	3–4	Evaluative comments supported by chains of reasoning and appropriate reference to context. Evaluation is balanced and considers the broad elements of the question.

Question Number	Answer	Mark
6(c)	Knowledge 2, Application 2 Knowledge (2) • YED will be negative — clothing rental subscriptions are inferior goods, since demand rises as real income falls (1) • Coefficient is income-elastic ($YED > 1$) — demand responds more than proportionately to the change in income (1) Application (2) • % change in quantity = $(195,000 - 145,000) / 145,000 \times 100 \approx +34.5\%$ • % change in income = -3.4% • $YED \approx +34.5 / -3.4 \approx -10.1 (1 + 1)$ • Accept range -9.5 to -10.5. Award 2 marks for correct value with working; 1 mark for correct % change or formula. Award maximum 2 marks if only the coefficient is given without explanation of sign and elasticity.	(4)

Question Number	Answer	Mark
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6(d)	Knowledge 2, Application 2, Analysis 2 Knowledge (2) • Repaired or returned-for-recycling garments are substitutes for newly produced fast-fashion garments — they meet the same consumer need (1) • A fall in the effective price / increased availability of repair / recycling raises the demand for these substitutes; positive XED implies the demand for new fast-fashion garments shifts inward (1) Application (2) • Free in-store repair stations raised customer retention by 5.2% (Extract C) — garments last longer, reducing replacement purchases (1) • Pre-paid take-back envelopes raised recycling by 3.7% — second-hand / recycled-fibre garments enter the second-hand market, displacing some new purchases (1) Analysis (2) • Repair extends the lifespan of existing garments, lowering the rate at which consumers re-enter the new-clothing market — demand for new fast fashion shifts from D to D■ (1) • Take-back schemes feed the second-hand market and EPR-exempt recycled-fibre lines, raising the cross-price availability of substitutes and again shifting the demand for new garments inward (1) • Suitable demand diagram for new fast-fashion clothing (D shifts inward, P↓, Q↓) credited (1)	(6)
Question Number	Answer	Mark

6(e) KAA	Knowledge 3, Application 3, Analysis 3 (KAA 9) Private costs of fast-fashion production and consumption: • Producers: raw fibres (cotton, polyester), labour, factory energy, dyeing and finishing chemicals, transport, storage, marketing • Consumers: retail price of the garment, plus cost of frequent replacement (26 kg per person per year — Extract A) • Producers' private costs are kept low by sourcing from low-wage economies and short production cycles, which is the basis of the fast-fashion model External costs of production: • Water use: cotton is highly water-intensive; ≈2,700 litres of water per T-shirt (third-party externality on local communities) • Microplastic pollution from synthetic fibres during dyeing and washing • Greenhouse gas emissions: ≈8% of global GHG emissions (Extract A) — climate change burden on future generations • Effluent / chemical pollution in dye houses harming downstream communities and ecosystems • Garment-worker welfare effects (long hours, low pay) in supplier countries External costs of consumption: • Textile waste: 1.17 million tonnes sent to UK landfill / incineration in 2023 (Figure 1, up from 920k in 2016) • Landfill leachate and methane emissions; incineration emits CO₂ and particulate matter, raising NHS / health-care costs • Disposal costs imposed on local authorities and taxpayers (waste-management externality) Diagram: negative production externality — MSC above MPC; market equilibrium output Q₁ exceeds the social optimum Q*; welfare-loss triangle shaded — may be credited as Analysis. NB: Level 3 responses must consider BOTH private and external costs.	(9)
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Level	Mark	Descriptor
Level 1	1–3	Displays isolated or imprecise knowledge. Generic or irrelevant information. Descriptive approach with no chains of reasoning.
Level 2	4–6	Displays some knowledge applied to context but narrow. Chains of reasoning are developed but the answer may lack balance.
Level 3	7–9	Demonstrates accurate knowledge applied appropriately. Logical and coherent chains of reasoning. Relevant examples fully integrated.

Question Number	Answer	Mark
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6(e) Eval	Evaluation 6 • Magnitude of external costs is hard to measure (statistical value of life, future climate damage, biodiversity loss) — wide range of estimates introduces uncertainty • Private benefits to consumers (low price, variety, self-expression) are real and partly offset private costs — the issue is the external part • Some external costs are already partially internalised: VAT, landfill tax on waste, business rates on retailers • Geographic concentration: many production externalities fall on supplier countries (Bangladesh, Pakistan) — externalities cross borders, which makes Pigouvian taxation harder • Long-run vs short-run: in the long run, technological improvements (recycled polyester, water-saving dyeing) may reduce the marginal external cost of production, weakening the case for very high taxes • Distributional effects: external costs of waste fall heavily on poorer communities near incinerators / landfill sites • Substantiated judgement: the external costs are substantial, persistent and rising (Figure 1), implying the privately negotiated market materially under-prices the true cost of fast fashion	(6)
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Level	Mark	Descriptor
Level 1	1–2	Identification of generic evaluative comments without supporting evidence/reference to context. No evidence of a logical chain of reasoning.
Level 2	3–4	Evidence of evaluation of alternative approaches which is unbalanced leading to unsubstantiated judgements. Evaluative comments with supporting evidence and a partially developed chain of reasoning.
Level 3	5–6	Evaluative comments supported by relevant reasoning and appropriate reference to context. Evaluation is balanced and considers the broad elements of the question, leading to a substantiated judgement.

Question Number	Answer	Mark
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6(f) KAA	Knowledge 4, Application 4, Analysis 6 (KAA 14) Likely impacts of the proposed EPR levy of £180 per tonne: • The levy is an indirect tax on non-exempt clothing — supply curve shifts from S to S+tax, equilibrium moves from (P, Q) to (P■, Q■); price to consumer rises, equilibrium quantity falls • Internalises a negative production externality — moves output towards the social optimum Q*. Welfare gain triangle if rate equals marginal external cost • Tax incidence depends on PED and PES of fast fashion: relatively price-inelastic demand → most of the £180/tonne is passed on to consumers, burden falls on shoppers, not retailers • Hypothecated revenue funds collection and recycling infrastructure — addresses the consumption-side externality of textile waste (Figure 1) • Exemption for >60% recycled / organic fibres creates a strong incentive for retailers to reformulate ranges — a positive shift in production techniques • Online retailers (38% of the UK market) are most affected — shift towards higher delivery charges, fewer SKUs, possible reduction in market entry • Effect on smaller retailers (already on tight margins) — exit / reduced competition; market concentration may rise • Cost-push inflationary pressure through the supply chain — regressive impact on low-income households • Diagram required: supply / demand diagram showing the levy as a vertical shift of S, the new equilibrium and tax incidence area. Alternatively a negative externality diagram with the tax closing the welfare-loss triangle. If no valid diagram is included, mark maximum Level 3 (10).	(14)
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Level	Mark	Descriptor
Level 1	1–3	Isolated or imprecise knowledge. Generic or irrelevant examples. Descriptive.
Level 2	4–6	Some knowledge applied to context but narrow. Two-stage chains of reasoning only.
Level 3	7–10	Accurate knowledge applied directly to the broad elements of the question. Coherent chains of reasoning but may lack balance.
Level 4	11–14	Precise knowledge applied with relevant examples fully integrated. Logical, balanced and coherent chains of reasoning.

Question Number	Answer	Mark
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6(f) Eval	Evaluation 6 • PED for fast fashion: empirically inelastic in the short run for the most price-sensitive consumer groups, so the levy will reduce quantity only modestly — most of the £180/tonne is passed on as higher prices • Risk of greenwashing (Extract B): retailers reformulate to fibres that just exceed the 60% recycled threshold but are no less polluting in practice — policy failure • Regressive distributional impact — low-income households spend a higher share of income on clothing • Risk of trade diversion: UK consumers may purchase via overseas online retailers (38% of the market) outside the EPR scope • Setting the levy correctly is informationally demanding — the true marginal external cost is hard to estimate, so government failure is plausible • Long run: the levy gives sustained incentive for innovation in recycled and organic fibres — dynamic gains may exceed short-run welfare losses • Substantiated judgement: on balance the EPR levy is likely to deliver only modest reductions in textile waste in the short run, but the rising waste trend in Figure 1 makes some intervention essential; the design of the exemption threshold and rate is critical to its success	(6)
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Level	Mark	Descriptor
Level 1	1–2	Identification of generic evaluative comments without supporting evidence/reference to context. No evidence of a logical chain of reasoning.
Level 2	3–4	Evidence of evaluation of alternative approaches which is unbalanced leading to unsubstantiated judgements. Evaluative comments with supporting evidence and a partially developed chain of reasoning.
Level 3	5–6	Evaluative comments supported by relevant reasoning and appropriate reference to context. Evaluation is balanced and considers the broad elements of the question, leading to a substantiated judgement.

Question Number	Answer	Mark
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6(g) KAA	Knowledge 4, Application 4, Analysis 6 (KAA 14) Methods of government intervention to address fast-fashion market failure: • Indirect tax / EPR levy (£180 per tonne, Extract B): raises price, contracts demand. Diagram of negative externality with tax credited • Subsidies for recycled / organic fibres or for clothing rental schemes — lowers MPC for socially preferred products; Extract A: rental subscriptions forecast to grow from 145,000 to 195,000 • Regulation: minimum durability standards, ban on destruction of unsold inventory, mandatory take-back obligations on retailers • Information provision / mandatory labelling — Extract C: lifespan-in-washes labels +4.1%, CO2 labels +2.8% — corrects information failure without distorting price • Behavioural nudges — Extract C: in-store repair (+5.2%) and pre-paid take-back envelopes (+3.7%) shift consumer behaviour • Tradable pollution permits for textile manufacturers, capping industry-wide emissions • Direct provision: public clothing-recycling infrastructure, education campaigns in schools • Diagram required: negative externality diagram ($MSC > MPC$) showing intervention (tax / subsidy / regulation closing the welfare-loss triangle). If no valid diagram is included, mark maximum Level 3 (10).	(14)
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Level	Mark	Descriptor
Level 1	1–3	Isolated or imprecise knowledge. Generic or irrelevant examples. Descriptive.
Level 2	4–6	Some knowledge applied to context but narrow. Two-stage chains of reasoning only.
Level 3	7–10	Accurate knowledge applied directly to the broad elements of the question. Coherent chains of reasoning but may lack balance.
Level 4	11–14	Precise knowledge applied with relevant examples fully integrated. Logical, balanced and coherent chains of reasoning.

Question Number	Answer	Mark
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6(g) Eval	Evaluation 6 • PED for fast fashion is inelastic in the short run — tax-based interventions may take time to change behaviour • Generic information campaigns produced no measurable change (Extract C) — raising awareness alone is insufficient; nudges that change the choice architecture are more effective • Regulation can be circumvented (greenwashing) and has administrative / monitoring costs • Subsidies have an opportunity cost — funds could be used elsewhere (NHS, schools); risk of producer-capture • Distributional effects: indirect taxes regressive; subsidies for rental schemes may not reach low-income consumers • Externalities are partly international (production in Bangladesh / China) — domestic policy has limited scope; international co-ordination needed • Combination of measures is the most effective: Professor Singh (Extract C) notes that combined nudges produce greater change than any single high-profile campaign — a policy package of EPR levy + nudges + information + exempt-fibre subsidy is likely to outperform any single tool • Substantiated judgement: a mixed package combining EPR (£180/tonne), mandatory labelling and take-back regulation is most likely to deliver sustained progress; reliance on any one tool risks government failure	(6)
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Level	Mark	Descriptor
Level 1	1–2	Identification of generic evaluative comments without supporting evidence/reference to context. No evidence of a logical chain of reasoning.
Level 2	3–4	Evidence of evaluation of alternative approaches which is unbalanced leading to unsubstantiated judgements. Evaluative comments with supporting evidence and a partially developed chain of reasoning.
Level 3	5–6	Evaluative comments supported by relevant reasoning and appropriate reference to context. Evaluation is balanced and considers the broad elements of the question, leading to a substantiated judgement.